

MORTGAGE LOAN AGREEMENT

Loan ID: 1
Borrower: Ava Nguyen
Borrower ID: 1
Loan Type: Mortgage (Fixed Rate)
Origination Date: 2020-05-01
Original Principal: \$320,000.00
Interest Rate: 4.25% APR (fixed)
Term: 360 months (30 years)
Monthly Payment: \$1,574.00
Current Status: Active
Outstanding Balance: \$298,450.10 (as of 2026-08-29)

1. LOAN TERMS

This Mortgage Loan Agreement ("Agreement") sets out the terms under which the Bank extends a mortgage loan to the Borrower named above, secured by a first lien on the property financed by this loan. The Borrower agrees to repay the Original Principal amount plus interest at the fixed rate stated above, in 360 equal monthly installments, until the loan is paid in full.

2. PAYMENT SCHEDULE

Monthly payments of \$1,574.00 are due on the 1st of each month. Payments are applied first to accrued interest, then to principal, then to any outstanding fees. A grace period of 15 days applies before a late fee of 5% of the payment amount is assessed.

3. PRIVATE MORTGAGE INSURANCE (PMI)

Because the original down payment was below 20% of the appraised value, this loan is subject to PMI until the outstanding balance reaches 78% of the original appraised value, per the Loan Products FAQ. PMI premiums are included in the monthly payment amount and are automatically removed once this threshold is met; the Borrower may also request early PMI removal upon reaching 80% loan-to-value with a qualifying appraisal.

4. PREPAYMENT

The Borrower may prepay all or part of the outstanding principal at any time without penalty. Prepayments are applied to principal and reduce the total interest paid over the life of the loan; the monthly payment amount and due dates are unchanged unless the Borrower requests loan recasting.

5. ESCROW

Property tax and homeowners insurance payments are collected monthly as part of an escrow account managed by the Bank and disbursed on the Borrower's behalf when due. Escrow amounts are reviewed annually and adjusted for changes in tax or insurance premiums.

6. DEFAULT AND FORECLOSURE

Failure to make payments for 90 or more consecutive days constitutes default. Upon default, the Bank may pursue hardship options described in the Loan Products FAQ (deferment, modification, forbearance) before initiating foreclosure proceedings, consistent with applicable law and the Bank's loss mitigation policies.

7. GOVERNING TERMS

This Agreement incorporates by reference the Bank's general Account Terms and Conditions and Dispute Resolution Policy where applicable to servicing of this loan.

Signed electronically by Ava Nguyen on 2020-05-01.
Countersigned by the Bank's Lending Division on 2020-05-01.